D87 | Equal standards, different denominators

PRIVATE SYNTHETIC fund and startup case. Crore INR. Original exercise/rubric remain unchanged. No real founder research, outreach, references, disclosure, investment or capital release.

One common-equity basis	No interim distributions/preferences/follow-on. External future issuance reduces entry ownership by retained fraction. Exit is distributable EQUITY, not enterprise value. All names, figures and outcomes are invented.
Recompute before arguing	A cheque 2/pre 18 gives 10% entry; retained .60 gives 6% exit; equity 150 gives cash 9/4.5x gross deal. B cheque 2/pre 8 gives 20% entry; retained .50 gives 10% exit; equity 60 gives cash 6/3x.
Same evidence for each	Arguments supplies invest AND pass/defer reasoning for BOTH candidates. No customer retention data: keep UNKNOWN for A and B. Swap labels and check whether facts, not preference, drive the argument. No invented interviews or independent diligence.
Deal is not fund	Fund commitment 100 less fee/cost allowance 10 leaves 90; reserve 30 leaves initial capacity 60. Base cash 9/6 divided by commitment gives .09x/.06x contribution, not whole-fund DPI/TVPI/IRR or net LP return.
Do not invent an expectation	Failure exits 0; upside equity 300/120 gives cash 18/12 and 9x/6x deal. No probabilities or dates supplied. Proposed 5x needs equity 166.666667/100 conditionally, not evidence either exit is plausible.
Keep independent stop gates	A single cheque fits 60 capacity, but this does not clear portfolio, reserve, customer, cash, rights or IC authority. Follow-on needs a new cost/ownership/payout/reserve model; no extra cheque may silently keep denominator 2.
Authored versus actual	Native failure log is authored execution only. Attempts stays blank. Record actual objections, corrected reasoning and real delayed retest only when performed. No learner mastery, independent review, Excel/Sheets parity or overall 10/10.

Inputs | Synthetic fund and common-equity deals

Yellow inputs editable. All money crore INR. Structural validity does not verify a valuation, customer claim, exit probability or permission.

Input	Candidate A	Candidate B
Initial cheque	2.00	2.00
Pre-money equity valuation	18.00	8.00
Retained fraction of entry ownership	0.60	0.50
Base distributable equity exit	150.00	60.00
Failure distributable equity exit	0.00	0.00
Upside distributable equity exit	300.00	120.00
Proposed gross deal MOIC target	5.00	5.00
Candidate inputs valid? (1=yes)	1.00	1.00

Fund commitment	100.00
Lifetime fee/cost allowance	10.00
Follow-on reserve	30.00
Fund inputs valid? (1=yes)	1.00

Zero cheque/retention/commitment are allowed inputs, but their related ratios/target equity stay undefined where denominators vanish. Negative, missing, text or retained fraction above 1 suppress affected calculations. No probabilities or real authorization added.

Returns | Gross single-deal, not net LP return

Crore INR. No follow-on or preferences. Formula values are conditional synthetic outputs; expected return and actual realized performance remain unknown.

Measure	Candidate A	Candidate B
Post-money equity	20.00	10.00
Entry ownership	10.00%	20.00%
Exit ownership	6.00%	10.00%
Base exit cash	9.00	6.00
Base gross deal MOIC	4.50	3.00
Failure exit cash	0.00	0.00
Failure gross deal MOIC	0.00	0.00
Upside exit cash	18.00	12.00
Upside gross deal MOIC	9.00	6.00
Cash needed for proposed MOIC	10.00	10.00
Equity needed for proposed MOIC	166.67	100.00

5x needs 10 cash on cheque 2: A equity 166.666667/B 100 at original diluted ownership. Failure 0 is a scenario, not a probability; upside 18/12 cash does not alone return 100 commitment. New follow-on requires a fresh ownership AND total-cost model, not the old denominator.

Fund | Capacity and contribution, not fund performance

Crore INR. A/B individual comparisons are mutually separate, not an assumed two-cheque allocation. Other portfolio, calls, distributions, fees/carry details and timing missing.

Investable commitment after fee/cost allowance	90.00
Follow-on reserve	30.00
Initial-investment capacity	60.00

Individual candidate screen	**Candidate A**	**Candidate B**
Initial cheque fits capacity? (1=yes)	1.00	1.00
Capacity after this candidate alone	58.00	58.00
Base proceeds / commitment (x)	0.09	0.06
Failure proceeds / commitment (x)	0.00	0.00
Upside proceeds / commitment (x)	0.18	0.12
Whole-fund net LP TVPI/DPI/IRR	UNKNOWN	UNKNOWN
Expected / probability-weighted return	UNKNOWN	UNKNOWN
New follow-on ownership / total cost	UNKNOWN	UNKNOWN
Customer retention / actual IC authority	UNKNOWN	UNKNOWN

The .09x/.06x figures are gross deal proceeds divided by COMMITTED capital. They are contribution ratios, not DPI (which uses paid-in capital), total fund TVPI, net LP return or realized distributions. The initial capacity screen cannot authorize investment or validate total portfolio commitments.

Arguments | Paired reasoning, not invented diligence

Illustrative authored practice. Same headings and missing-evidence standard for each candidate. Conditional invest argument is not a recommendation to spend or an actual IC decision.

A | Conditional invest thesis	Model: cheque 2, 6% diluted exit ownership, base cash 9/4.5x, upside cash 18/9x. Could support a provisional thesis only if product/customer retention, economics, cash, legal rights, financing and exit evidence survive the same checks used for B. These facts are currently UNKNOWN, not validated.
A | Pass/defer thesis	Base 4.5x misses proposed 5x; conditional hurdle equity 166.666667 is not plausibility proof. Failure cash 0 and unverified retention/rights can justify defer/pass. Strongest objection to pass: upside 9x may justify further private modeled diligence, but not lower evidence standards or actual investment.
B | Conditional invest thesis	Model: lower entry valuation yields 20% entry and 10% diluted exit; base cash 6/3x, upside 12/6x. Could support a provisional thesis with independently supported product/retention/economics/cash/rights/financing and exit evidence. Do not punish B unknown retention while inventing favorable A retention.
B | Pass/defer thesis	Base 3x misses 5x; hurdle equity 100 is conditional. Failure cash 0 and missing retention/rights justify defer/pass under the SAME rules as A. Strongest objection to pass: upside 6x could support further evidence gathering, not a lower bar or fabricated calls.
Swap labels, preserve standards	Swap entire A/B input columns, not selected labels alone. Numeric outputs should move with the facts; the rule for retention/source quality/rights must not change. Stronger A multiple cannot excuse evidence that would disqualify B. Record actual revised reasoning in Attempts, not here.
Retain four alternatives	Invest A, invest B, pass both or defer. Both together requires a separate combined allocation/reserve/payout model. No probabilities, portfolio marks, actual distributions, signed rights or IC vote were supplied. A narrative is not investor diligence or authorization.

Sources | Case inputs are not empirical evidence

All workbook values are synthetic and trace to original D87 at https://top1os.dev/. Existing source framing retained; no new empirical reading or real founder data claimed.

S1 | Native case inputs	Original D87 exercise: commitment 100/allowance 10/reserve 30; A cheque 2/pre 18/retained .60/base 150/upside 300; B cheque 2/pre 8/retained .50/base 60/upside 120; failure 0; proposed gross 5x. Workbook generation date 13 November 2026 is NOT an empirical observation date.
S2 | Finance framing	MIT15.431 historical lecture (2011): explicit cash/valuation assumptions. https://ocw.mit.edu/courses/15-431-entrepreneurial-finance-spring-2011/4a2e49e2bb9d4dbfe0bb7b89cccb1016_MIT15_431S11_lec01.pdf . Historical teaching, not current Indian tax rules or investment authority.
S3 | Performance definitions	ILPA granular performance definitions v 1.1 (2025): contributions/distributions/NAV and denominator discipline. https://ilpa.org/wp-content/uploads/2025/04/ILPA-Performance-Template-Definitions-Granular-Methodology-v1.1.pdf . Single gross deal proceeds/commitment is not whole-fund net LP performance.
S4 | Assigned memo process	Slauson assigned recording https://www.youtube.com/watch?v=7ss7yOFgY94 . Historical US firm practices are not current Indian legal requirements. Existing assignment retained; no fresh full audio/video or native watching validation claimed.
U1 | Equal unknowns	Both: product fit, customer retention, unit economics, cash runway, ownership/rights and governance evidence UNKNOWN. No actual evidence dates, customers, reference calls, founder identities, probability estimates or legal signoff invented.
U2 | Fund and follow-on gaps	Other portfolio values, paid-in capital, call/distribution dates, actual fees/carry/preferences and new-round terms UNKNOWN. No TVPI/DPI/IRR or combined both-candidate/follow-on clearance follows from these inputs.

Review | Fictional owners, real stop boundary

Day 0/30/60/90 are relative practice checkpoints, not calendar appointments or real responsibilities. No outreach, references, recordings, sharing or spend authorized.

Day0 | Evidence reviewer	Use identical source/date/unit/status requirements for BOTH candidates. Keep product/customer claims UNKNOWN without a supported source. Reject invented references, retention or demand evidence. Stop any attempt to disclose a real data room or contact a founder.
Day30 | Economics reviewer	Reconcile cheque, pre/post, retained ownership, all three exit scenarios, gross deal denominators and conditional 5x hurdle. Stop any argument that stronger narrative replaces unsupported economics or probabilities.
Day60 | Portfolio/cash reviewer	Reconcile 100-10=90;90-30=60. Check individual capacity and proceeds/commitment, retaining unknown paid-in capital, portfolio values, distributions/timing/carry. Both together and follow-on require separate coherent models.
Day90 | Rights/IC reviewer	Check missing legal rights, governance, source restrictions and actual owner/IC authority. Classroom self-check or signed-looking fictional box never releases capital. Stop on unresolved rights, terms, evidence or authority.
Strongest contrary evidence	For conditional invest: missing retention/rights and failure scenario may reverse it. For pass: supported exits/economics could warrant a new review, not automatic approval. Record actual objection, corrected argument and whether provisional choice changed.
Future transfer, not performed	Closed-notes later: swap A/B fully; reduce A retention to .40 and explain hurdle 250/base 3x; separately change fund commitment to 80 and preserve 10/30 ->capacity 40. Explain .1125x A contribution without calling deal 4.5x a fund return. Restore original before another exercise.

Attempts | Actual practice remains blank

Fill only after actual work. No learner, independent review, delayed retest or empirical evidence was observed. This blank register is not a completed paired IC memo.

Actual date / candidate	Original invest / pass view	Attempted reasoning	Observed error / cause	Correction / source	Strongest objection / changed view	Delayed prompt / actual retest

Keep paired invest AND pass arguments for EACH candidate and the strongest counterevidence. 8/10 self-check with mandatory provenance/downside/owner checks is course self-assessment, not independent mastery or IC permission. Choose a future retest date yourself; do not invent elapsed delay.

Failure log | Authored native execution only

Not actual learner errors or independent IC/finance review. Original D87 case/rubric preserved. No Excel/Sheets parity, real diligence, performance claim or overall 10/10.

Authored test	Native outcome
Baseline	PASS: both entry/exit ownership, base/failure/upside proceeds and gross deal MOIC, 5x hurdle equity, capacity and proceeds/commitment match exact rational arithmetic. UNKNOWN fund performance/probabilities/customer evidence/authority retained.
A retention .40	PASS: A retained .40 gives exit 4%, base cash 6/deal 3x and hurdle equity 250. Restore .60; weaker dilution case does not fabricate customer/rights clearance.
A/B full-input swap	PASS: swapped all A/B inputs; numerical returns move with facts, fund capacity/unknowns unchanged. Restored original columns. Arithmetic symmetry is not an observed learner bias test.
Commitment80 / capacity screen	PASS: commitment 80 gives capacity 40, A/B base contribution .1125x/.075x without changing deal 4.5x/3x. Commitment 41 gives capacity 1; both cheque 2 screens fail. Restored 100. Neither test grants investment authority.
Zero cheque / retention / commitment	PASS: zero cheque keeps cash zero but MOIC/hurdle undefined; zero retained ownership makes hurdle undefined. Zero commitment with zero allowance/reserve keeps contribution ratios undefined. Baseline restored.
Invalid inputs / broken references	PASS:8 negative/excess-retention/text/missing/budget-inconsistent inputs suppress affected outputs. Broken exit-ownership and capacity references propagate to dependent conclusions. Originals restored, unknown evidence never cleared.
Restored / blank actual attempts	PASS: baseline restored. All actual attempt/date/error/correction/objection/delayed-retest cells remain blank. UNKNOWN fund net performance/probabilities/new follow-on/customer retention/real IC authority retained. No independent learner review claimed.

Authored tests are separate from actual learner attempts, paired memo completion, delayed transfer and source-depth validation. No actual funding, outreach or disclosure. UNKNOWN fund performance/customer evidence/authority is never converted to a numeric pass.